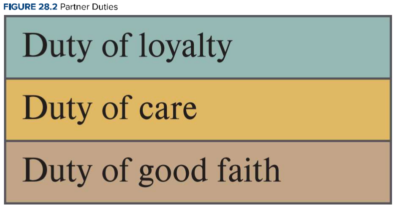
THE DUTIES OF PARTNERS

LO 28-5

Recognize several important duties of partners.

Partners owe each other and the partnership several important duties as illustrated in Figure 28.2.

FIGURE 28.2 Partner Duties



Together, these are known as **fiduciary duties**, and they ensure that each partner is acting in the partnership's best interests. Further discussion of each of these duties follows. It is important to point out that under the RUPA, a partnership agreement may not completely eliminate the fiduciary duties.[6] There are a few situations, however, in which partners may agree to authorize or ratify a specific act or transaction that otherwise would violate the duty of loyalty.[7] Also, the courts have traditionally applied broad equitable principles to achieve flexible results with respect to defining the scope of fiduciary duties.

Duty of Loyalty

The loyalty standard prohibits a general partner from engaging in competition with the interests of the partnership and also prohibits other conflicts of interest such as using partnership property for personal gain. A partner likewise violates the duty of loyalty if the partner personally takes advantage of a business opportunity that would have benefited the partnership.

Case 28.2 is a landmark New York appellate court case authored by Judge Cardozo that defines the scope of duty of loyalty that is owed between partners.

LANDMARK CASE 28.2: Meinhard v. Salmon et al., 164 N.E. 545 (N.Y. 1928)

FACT SUMMARY

Meinhard and Salmon formed a general partnership to lease the Bristol Hotel, located on the northwest corner of Fifth Avenue and 42nd Street in New York City, for 20 years. Their agreement was to split the renovation costs to repurpose the building for commercial tenants and retail. Under the terms of their partnership, they would split the profits and losses evenly and Salmon would have sole authority to manage the business affairs of the partnership and lease. This partnership proved to be very profitable for both individuals, and the lease was set to expire on April 20, 1922.

In January 1922, the Bristol property owner offered Salmon a plan to lease the Bristol property and several adjoining lots. Under a new long-term lease, Salmon would demolish all the structures and finance the construction of a new larger building for commercial tenants. Without telling Meinhard, Salmon signed the new lease on January 25, 1922, a few months before their partnership was set to expire. The following month, Meinhard found out about the lease and sued to have the new lease transferred to their existing partnership. The trial court ruled in favor of Meinhard, and Salmon appealed.

SYNOPSIS OF DECISION AND OPINION

Justice Cardozo, writing for the court, held that Salmon breached the duty of loyalty he owed Meinhard by usurping the business opportunity for himself. The court ordered Salmon to transfer half of the interest of the new lease to Meinhard.

WORDS OF THE COURT: Duty of Loyalty

"Joint adventurers, like copartners, owe to one another, while the enterprise continues, the duty of the finest loyalty. Many forms of conduct permissible in a workaday world for those acting at arm's length, are forbidden to those bound by fiduciary ties. A trustee is held to something stricter than the morals of the market place. Not honesty alone, but the punctilio of an honor the most sensitive, is then the standard of behavior. As to this there has developed a tradition that is unbending and inveterate. Uncompromising rigidity has been the attitude of courts of equity when petitioned to undermine the rule of undivided loyalty by the 'disintegrating erosion' of particular exceptions. . . . Only thus has the level of conduct for fiduciaries been kept at a level higher than that trodden by the crowd. It will not consciously be lowered by any judgment of this court.

...

"The very fact that Salmon was in control with exclusive powers of direction charged him the more obviously with the duty of disclosure, since only through disclosure could opportunity be equalized. If he might cut off renewal by a purchase for his own benefit when four months were to pass before the lease would have an end, he might do so with equal right while there remained as many years. . . . He might steal a march on his comrade under cover of the darkness, and then hold the captured ground. Loyalty and comradeship are not so easily abjured.

...

"We have no thought to hold that Salmon was guilty of a conscious purpose to defraud. Very likely he assumed in all good faith that with the approaching end of the venture he might ignore his coadventurer and take the extension for himself. He had given to the enterprise time and labor as well as money. He had made it a success. Meinhard, who had given money, but neither time nor labor, had already been richly paid. There might seem to be something grasping in his insistence upon more. Such recriminations are not unusual when coadventurers fall out. They are not without their force if conduct is to be judged by the common standards of competitors. That is not to say that they have pertinency here. Salmon had put himself in a position in which thought of self was to be renounced, however hard the abnegation. He was much more than a coadventurer. He was a managing coadventurer. . . . For him and for those like him, the rule of undivided loyalty is relentless and supreme. . . .

...

"Subject to this adjustment, we agree with the Appellate Division that the plaintiff's equitable interest is to be measured by the value of half of the entire lease, and not merely by half of some undivided part."

Case Questions

1. Did it matter to the court that Meinhard and Salmon's partnership was near its end? Explain.

2. Was Salmon justified in his view that the new lease was a different business opportunity altogether? Explain.

3. *Focus on Critical Thinking:* How could Salmon have avoided the liability and still taken advantage of the lease?

Pictorial Press Ltd/Alamy Stock Photo
The Bristol Hotel (left) on the northwest corner of Fifth Avenue and 42nd Street in New York City.

Duty of Care

Partners must also exercise due care in handling the affairs of the partnership and treat business affairs with diligence. Specifically, Section 404(c) of the RUPA states that a partner must "refrain from engaging in grossly negligent or reckless conduct, intentional misconduct, or a knowing violation of the law." Under this standard, partners are not liable if they make a business decision that results in harm due to an ordinary mistake of judgment.

Duty of Good Faith

The good faith standard requires that partners exercise appropriate discretion in dealing with other partners and third parties concerning the partnership's business. In partner-to-partner transactions, partners owe each other full disclosure. For example, imagine that Billy from the Smashing Tomatoes receives notification that a large music label wants to purchase the copyrights to the songs the band has jointly created. Billy may want to buy out his partners and own the copyrights individually; however, under the duty of good faith, he would have to inform the other band members about the interest expressed by the music label. If Billy failed to inform the other band members, they would be able to sue in court to undo the sale of the copyrights and have them returned to the partnership.

TAKEAWAY CONCEPTS The Duties of Partners

- Partnership duties include the duty of loyalty, care, and good faith.
- Together, these duties are referred to as *fiduciary duties*.
- Under the RUPA, a partnership agreement may not completely eliminate the fiduciary duties.

Law, Ethics, and Society

Fiduciary Duties and Self-Interest

As discussed in Unit 2: Contracts, an important assumption during the contracting process is arm's-length bargaining. If you recall, arm's-length bargaining assumes that two contracting parties will "stand at arm's length" and in this way maximize their individual advantage. In the most extreme scenarios, this results in a zero-sum game where one party's gain equals the other party's loss.

Compare the fiduciary duties in partnership to the arm's-length bargaining assumption, particularly with respect to the duty of loyalty. How does the fiduciary standard, eloquently described by Judge Cardozo as "the duty of the finest loyalty" differ from the contracting standard and why is this a better standard for partnerships?